

most of those with a decade or more of experience tend to be bearish. For now, the younger bulls have the upper hand, but before discrediting the "old-timers" for turning bearish too early, remember that it's only through their long term accuracy that they've survived in the newsletter advisory field for so many years.

So it is the more seasoned among the advisors who are bearish. Are the vast majority of players who now ignore the warnings from these few voices a uniquely correct crowd? History answers that question, too. Here is how one market observer rationalized the bubble of 66 years ago, right at the top:

Through the years the old adage, "Buy when everybody is selling and sell when the public is buying," has well justified itself. But what help does it give today? Old definitions of the public no longer suffice. The customers' rooms at brokerage houses have been crowded for several years. The amateur investor who ignored the old adage in 1926 has a larger credit account with his broker than the old trader.

—Charles A. Dice, *New Levels In the Stock Market*, August 1929.

Mr. Dice's assertion that the wisdom of the "old trader" was outmoded was delivered weeks from the historic market top in 1929. Substitute 1992 for 1926 in the above description, and you can see that his sentiment exists again today among people who say that the few staunch bears are just old-timers who do not understand the fact that it is a new era, that "old definitions of the public no longer suffice."

At the 1929 top, there was a record amount of stock held short, just as there is today. So today's short position may not be bullish, as so many contend. In the weeks that followed the 1929 top, national financial publications stated repeatedly that the market was safe because there were "too many bears." Books about the 1929-1932 bear market recount numerous quotations to this effect. After the Dow had fallen 89% and a depression was underway, there were undoubtedly arguments that there were too many bulls.

1968 was the most heated market since 1929 until today's. During that year, advisory service bears actually *outnumbered* bulls in 60% of the two-week monitoring periods through December, the month of the top. According to figures from *Investors Intelligence*, half of them did capitulate for three weeks at the very end but quickly returned to their prior opinion.